

An Assured-Return IPO?

Even as the bull market was gaining in strength with each passing day, it was hard to ignore the signs of trouble surfacing in the global markets intermittently. But the tide of liquidity washing up the shores of the Indian market was so strong that it had managed to temporarily suspend the law of gravity in share prices. Analysts were devising newer ways to justify the bizarre share valuations, which were now factoring earnings three to four years ahead. The engines of the economy were running at full power; tax collections were at a record high; and the profit and loss statements of companies were not in good health.

Going short turned out to be suicidal for the handful of traders who were convinced that fundamentals did not justify the high valuations and that stock prices had to correct. They were right in their assessment of valuations, but lost money trying to stand up to a crowd that was willing to pump in funds without any thought to fundamentals. Also, promoters of most of the mid-cap companies were dabbling in their own stocks, using money borrowed by pledging their own shares.

Over the years, I had developed my own set of indicators to warn me of impending danger in the market. One such indicator was the ease of making money. The easier it becomes to make money off shares, the closer you are to the day of reckoning. By now the point had come when all you had to do to make money was to show up in front of a trading terminal. Pick any stock at random and you would still be able to sell it 10 per cent higher the following day. To me, this was a sure sign that the bubble could burst any time.